credit. Nobody can operate on that basis unless you have large cash balances, which we don't. My concern is that the government doesn't appear to care about manufacturing.'

Ratan's problems continued to mount. Due to the declining demand for cars, by early 2009, JLR had to lay off 450 employees and let go of 3,500 workers voluntarily. In keeping with the group policy, Ratan resorted to lay-offs only as a last measure. He worked with the labour union and in March of the year, reached an understanding for a four-day week and 'one-year pay freeze', which was expected to save the company nearly £70 million.

The sudden economic crisis and the loss incurred in its UK operations impacted Tata Motors' overall financial position. It was in the red for the first time in at least seven years. According to the *Financial Times*, 'While Tata Motors' Indian business, which relies mostly on truck sales, made a profit, the [company] was dragged into a consolidated net loss of Rs 25.1bn ($524m) by a 32 per cent fall in sales volumes at Jaguar and Land Rover combined.' The acquisition also left the group with a 'debt overhang, with 50 per cent of its Rs 163bn of debt due by 2011'.

Investors became nervous. Some analysts opined that the two British brands would ultimately be 'millstones around the neck of Tata Motors', at least in the short term. Many were intrigued as to why Ratan had refused to pull out of the deal, since there had been some signs of the oncoming financial storm even before the agreement was inked. But he maintained that his decision to acquire JLR was correct, and the downturn would pass.

On 6 April, Ratan called on the British Prime Minister again and sent him a letter the following day, lamenting the delay in the government taking a decision on his requests.

He battled virtually alone, convinced by the soundness of his decision to acquire JLR. As he told the *Financial Times* in July 2009, 'It was a terrific decision that we took to bid for these two brands and own them. We are going through a downturn today that has unfortunately somewhat condemned Jaguar and Land Rover in perception, [but] that perception is very wrong.' Kant also reassured the same newspaper that the 'marquees were simply a victim of the global slowdown'.

Unhappy with the lack of response from the British government, Ratan simultaneously looked at other sources for finance. In May 2009, however, the British government agreed to guarantee £175 million as a bridge loan. But it was predicated on burdensome conditions, including the government